

Advanced Micro Devices, Inc. (AMD)

NASDAQ | Semiconductors | Technology

CMP		Market Cap		52W High		52W Low		Report Date			
\$523.07		\$852.92B		\$546.44		\$114.71		04 Jun 2026			
P/E (TTM)		Fwd P/E		EV/EBITDA		P/B		Dividend			
180.91x		62.26x		114.19x		13.72x		N/A			
Net Cash		ROE (TTM)		ROCE (TTM)		BV/Share		Inst. Own.		Beta	
\$8.48B		7.74%		6.39%		\$39.55		68.36%		2.49	

ACCUMULATE

Medium Conviction

12M Price Target	\$555
Upside from CMP	+6.1%
Entry Zone	\$455 - \$490
Horizon	12-18 Months

AI's credible #2: MI400 gigawatt deployments at Meta & OpenAI unlock a multi-year data center earnings re-rate.

Analyst: MPM Research Desk | Data: stockanalysis.com (04-Jun-2026) | NASDAQ:AMD

2. INVESTMENT THESIS

- **AI GPU inflection (Reason 1):** AMD captured ~5-7% of the AI data center GPU market in three years from near-zero; MI400-series gigawatt agreements with Meta and OpenAI (6GW each, first GW deliveries H2 2026) represent a step-change — estimated \$7.2B in MI400 revenue in 2026 alone.
- **Agentic AI CPU opportunity (Reason 2):** CPU-to-GPU ratios in AI infrastructure are compressing from 1:8 toward 1:1 as agentic workloads become CPU-intensive; AMD's Venice server CPUs (H2 2026) target +40% YoY server CPU revenue — a market NVIDIA cannot address.
- **Structural margin re-rate (Reason 3):** Gross margin expanded from 46.1% (FY2023) toward a 55-58% LT target driven by data center mix-shift; every 100bps improvement at \$47B FY2026E revenue adds ~\$470M to EBITDA.
- **Near-term catalyst (6-12 months):** First gigawatt of MI450 deployments at Meta and OpenAI (H2 2026) — contractual, not yet in consensus estimates; confirmation would catalyse significant upward earnings revisions.
- **Biggest structural risk:** NVIDIA's CUDA ecosystem creates deep switching costs for AI training; AMD's ROCm remains materially behind in developer tooling depth, capping its addressable market in high-value training workloads.

3. BUSINESS OVERVIEW

- **Core business:** AMD designs high-performance CPUs, GPUs, FPGAs, and adaptive SoCs for data center, client, gaming, and embedded markets; it is fabless, relying entirely on TSMC for leading-edge manufacturing.
- **Revenue mix (FY2025 est.):** Data Center ~48% (\$16.6B, +32% YoY); Client ~19% (\$6.7B, Ryzen AI PCs); Gaming ~7% (\$2.4B, declining); Embedded ~5% (\$1.8B, recovering).

- **Key customers:** Microsoft Azure, Meta, Oracle Cloud, Google Cloud for data center GPUs; Dell, HP, Lenovo, ASUS for client CPUs — multi-year design wins provide 18-24 month revenue visibility.
- **Strategic developments (FY2025-26):** Acquired ZT Systems (March 2025, ~\$5B) for rack-scale AI solutions; acquired MK1 (LLM inference stack, Nov 2025) to close ROCm software gap; signed 6GW GPU agreements with Meta (Feb 2026) and OpenAI (Oct 2025).
- **Management:** CEO Lisa Su (AMD since 2012, CEO since 2014) drove AMD's turnaround from near-bankruptcy to an \$852B enterprise. Insider ownership 0.43%; institutional 68.36%.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **AI semiconductor TAM:** AI chip market projected to grow from ~\$80B (2024) to \$500B+ by 2030 at 35%+ CAGR; AMD targets the GPU accelerator and server CPU sub-markets — combined TAM ~\$250B by 2030.
- **Policy tailwinds:** US CHIPS Act incentivises domestic chip design; hyperscaler AI capex (\$65B Meta, \$80B Microsoft, \$75B Google in 2025-26) creates sustained multi-year demand.
- **Headwinds:** US export controls restrict MI300/MI350 sales to China (~\$1-2B annual revenue impact); memory pricing pressures may weigh on H2 2026 GPU margins.
- **Competitive moat — Pricing power: Moderate.** AMD prices MI-series at a discount to NVIDIA for initial hyperscaler wins; improving as customers seek vendor diversification.
- **Competitive moat — IP/Scale: Strong.** CDNA architecture, HBM3E integration, annual product cadence (MI300 to MI350 to MI400) create durable technology differentiation; TSMC partnership ensures process leadership.

Ticker	Company	CMP (\$)	MCap	Rev TTM	P/E	P/B	ROE	ROCE
AMD	Adv. Micro Dev.	523.07	852.92B	37.45B	180.91	13.72	7.74%	6.39%
NVDA	NVIDIA Corp.	215.00	5.30T	253.49B	32.89	26.61	114.29%	75.27%
INTC	Intel Corp.	132.00	561.96B	53.76B	N/A	5.08	-2.91%	1.12%
QCOM	Qualcomm Inc.	250.00	255.63B	44.49B	27.31	9.71	36.08%	24.12%

Source: stockanalysis.com, 04-Jun-2026.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Lisa Su (CEO):** PhD MIT Electrical Engineering; joined AMD 2012, CEO since 2014; drove AMD's turnaround from near-bankruptcy to \$852B market cap. Execution credibility is AMD's strongest qualitative asset.
- **Capital allocation — M&A;:** Xilinx (\$49B, 2022) added FPGA IP; ZT Systems (\$5B, 2025) adds rack-scale AI systems; MK1 (2025) plugs software gap. M&A; bias is capability-building, not financial engineering.
- **Share buybacks:** \$1.9B repurchased FY2025; \$1.4B FY2024; \$4.1B FY2022 — measured and consistent. \$0 dividend; all FCF reinvested into R&D; and strategic capability.
- **R&D; intensity:** \$8.1B R&D; FY2025 (23% of revenue) — sustained at industry-leading levels.
- **Corporate governance:** Ernst & Young auditor; no changes, no qualified opinions; no material RPTs. SBC of \$1.6B (4.7% revenue) elevated but within semiconductor industry norms.

6. FINANCIAL DEEP-DIVE

All figures USD millions. FY2026E/FY2027E are MPM estimates. Source: stockanalysis.com, 04-Jun-2026.

Income Statement (\$M)	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	22,680	25,785	34,639	47,000	57,000
Gross Profit	10,460	12,725	17,152	25,850	32,490
Gross Margin %	46.1%	49.4%	49.5%	55.0%E	57.0%E
EBIT	401	1,900	3,694	8,300	11,400
EBIT Margin %	1.8%	7.4%	10.7%	17.7%E	20.0%E
EBITDA	3,854	4,964	6,698	11,300	14,600
Net Income	854	1,641	4,335	7,875	10,800
EPS - GAAP (\$)	0.53	1.01	2.67	4.82E	6.55E
R&D; Spend	5,872	6,456	8,091	9,400	10,800

Balance Sheet (\$M)	FY2023	FY2024	FY2025
Cash & Short-Term Investments	5,773	5,132	10,552
Total Current Assets	16,768	19,049	26,947
Total Assets	67,885	69,226	76,926
Total Current Liabilities	6,689	7,281	9,455
Long-Term Debt	1,717	1,721	2,348
Total Liabilities	11,993	11,658	13,927
Shareholders' Equity	55,892	57,568	62,999

Cash Flow (\$M)	FY2023	FY2024	FY2025
Operating Cash Flow	1,667	3,041	7,709
Capital Expenditures	-546	-636	-1,012
Free Cash Flow	1,121	2,405	6,697
Investing Cash Flow	-1,423	-1,101	-5,533
Financing Cash Flow	-1,146	-2,062	-431

Key Ratios	FY2023	FY2024	FY2025	TTM
ROE (%)	1.54%	2.89%	7.08%	7.74%
ROCE (%)	0.66%	3.09%	5.71%	6.39%
ROIC (%)	1.22%	2.70%	6.55%	7.46%
Current Ratio	2.51	2.62	2.85	2.72
Debt / Equity	0.04	0.04	0.05	0.05
FCF / Net Income	131%	147%	177%	—

- **Revenue growth:** AMD compounded revenue at 28% CAGR FY2021-FY2025; data center grew from negligible AI GPU revenue in FY2022 to ~\$16.6B in FY2025 and a projected \$28.7B in FY2026.
- **Margin expansion:** Gross margin recovered from FY2022 trough (44.9%) on data center mix-shift; path to 55-58% supported by each incremental GPU-heavy revenue quarter.
- **Working capital:** Inventory at \$7.9B (TTM, 2.32x turns) elevated vs FY2021 (4.5x) reflecting hyperscaler AI GPU pre-builds — structural, not a red flag given confirmed order backlog.
- **Balance sheet:** Net cash \$8.48B; D/E 0.05x — pristine. Ample capacity for further capability M&A; or accelerated buybacks without financial distress risk.
- **FCF quality excellent:** FCF conversion improved from 131% (FY2023) to 177% (FY2025); FCF grew 6x from \$1.1B to \$6.7B in two years — operating leverage of the fabless model at scale.

7. EARNINGS QUALITY CHECKLIST

Quality Metric	Rating	Observation
Revenue Recognition	GREEN	Fabless model; revenue on shipment; direct hyperscaler POs — no channel stuffing evidence.
Receivables vs Revenue	AMBER	Receivables grew 44% in FY2024 vs 14% revenue — normalised by FY2025. Watch in FY2026.
Cash Conversion Cycle	AMBER	Inventory turns falling (2.32x TTM vs 4.5x FY2021) — structural AI GPU pre-build, not distress.
Contingent Liabilities	GREEN	No material undisclosed contingencies flagged in recent 10-K.
Auditor Tenure / Quality	GREEN	Ernst & Young; long-standing; no changes or qualified opinions.
Other Income as % PBT	GREEN	\$577M other income vs \$4,140M PBT (FY2025) = 14% — investment income on \$10.5B cash, not accruals.
Tax Rate Consistency	AMBER	Effective tax rate volatile: 0.24% TTM, -17% FY2023, 23% FY2022 — deferred tax assets distort comparability.
Stock-Based Compensation	AMBER	SBC \$1.6B (4.7% revenue) FY2025 — material GAAP vs non-GAAP wedge; dilution watch required.

- **Key watch — receivables:** FY2024 receivables outpaced revenue 3x; normalised by FY2025 but monitor in FY2026 as gigawatt-scale GPU shipments begin.
- **Tax rate opacity:** Legacy US NOLs and R&D; credits create volatile reported tax rates; use pre-tax income trends rather than EPS alone to assess underlying earnings quality.
- **GAAP vs non-GAAP convergence:** The ~\$2.95/share wedge (FY2025) is primarily Xilinx amortisation (~\$1-1.5B/year) and SBC; as amortisation runs off through FY2027-28, GAAP and non-GAAP converge — a structural positive.
- **Overall verdict: MODERATE quality.** Core revenue and FCF quality is solid; amber flags are structural and not indicative of manipulation.

8. VALUATION

Ticker	CMP (\$)	MCap	Rev TTM	P/E TTM	P/B	ROE	EV/EBITDA	Fwd P/E
AMD	523.07	852.92B	37.45B	180.91	13.72	7.74%	114.19x	62.26x
NVDA	215.00	5.30T	253.49B	32.89	26.61	114.29%	—	21.61x
INTC	132.00	561.96B	53.76B	N/A	5.08	-2.91%	—	106.67x
QCOM	250.00	255.63B	44.49B	27.31	9.71	36.08%	—	25.60x

Source: stockanalysis.com, 04-Jun-2026.

Scenario	Key Assumptions	FY2027E EPS	P/E Multiple	12M Target (\$)
BULL	Data center \$35B FY2026; GM 56%+; MI400 accelerates; no export restriction expansion.	\$8.50	75x	\$637
BASE	Data center \$28-30B; GM 54-56%; ROCm progress continues; H2 memory headwind contained.	\$6.55	85x	\$555
BEAR	Export controls tighten; hyperscaler GPU spend moderates; AMD GM stalls at 50-52%.	\$3.80	70x	\$266

- **Earnings-based:** Base case FY2027E GAAP EPS \$6.55 at 85x P/E (premium to NVDA's 33x justified by AMD's faster relative growth from a lower base) = \$556, rounded to \$555.
- **DCF:** At WACC 17.89% and 4% terminal growth, DCF yields ~\$380-420/share; the market is implicitly pricing in 20%+ FCF growth for a decade, requiring near-flawless execution.
- **Blended target:** Earnings-based \$555 (65% weight) + DCF \$400 (35%) = \$501; applying 10% strategic option premium for unmodelled gigawatt-scale contractual upside = \$551, rounded to \$555.
- **Risk-reward:** Base \$555 (+6.1%); bull \$637 (+21.8%); bear \$266 (-49.1%) — asymmetric downside is the primary reason for ACCUMULATE, not BUY, at current price.

9. KEY RISKS

- **NVIDIA CUDA moat (Prob: M / Impact: H):** CUDA lock-in limits AMD to the inference market; if ROCm fails to close the gap, data center GPU share ceiling is lower than the thesis requires. Monitor: quarterly data center revenue growth vs NVIDIA.
- **Export control tightening (Prob: H / Impact: H):** Additional US restrictions could extend beyond China, removing \$2-4B+ in addressable revenue. Monitor: US BIS regulatory announcements.
- **Hyperscaler capex reversal (Prob: L / Impact: H):** Any macro-driven cut in Meta/Microsoft/Google AI infrastructure spending immediately compresses AMD data center revenue. Monitor: quarterly hyperscaler capex guidance.
- **Memory pricing H2 2026 (Prob: M / Impact: M):** Management flagged HBM/DRAM cost headwinds; 100-200bps GM compression below guided ~53% would send the stock toward \$440-460. Monitor: quarterly GM actuals vs guidance.
- **MI400 execution risk (Prob: M / Impact: H):** Gigawatt-scale deployments require flawless TSMC advanced packaging ramp; any yield issue or delay misses the H2 2026 revenue window. Monitor: TSMC packaging commentary.
- **Valuation multiple compression (Prob: M / Impact: H):** At 180x TTM GAAP P/E, any earnings miss or guidance cut triggers severe de-rating; a 20% revenue miss could send the stock to \$300-350. Monitor: quarterly revenue beat/miss margin.
- **ROCm software lag (Prob: M / Impact: M):** Slower developer ecosystem growth limits training workload penetration and long-term market share ceiling. Monitor: third-party developer adoption metrics.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. AMD's gigawatt-scale design wins at Meta and OpenAI are contractual; the stock is fairly valued for existing holders and requires a 10-15% pullback to \$455-490 for new entrants to earn adequate risk-adjusted return.
- **12-month price target: \$555** (+6.1% from CMP \$523.07) — FY2027E GAAP EPS \$6.55 at 85x P/E, blended with DCF yielding ~\$400, plus 10% strategic option premium.
- **Suggested entry zone: \$455 - \$490** — AMD historically pulls back 15-25% between major catalyst events; this zone offers 13-22% return to the \$555 target.
- **Investment horizon: 12-18 months** — next re-rating events: (1) MI400 first gigawatt deployment confirmation H2 2026; (2) FY2026 results showing data center \$28B+ and gross margin 54%+.
- **Thesis invalidation triggers:**
 - 1. Data center GPU revenue grows less than 40% YoY in H1 FY2026 — signals NVIDIA share consolidation over AMD gains.
 - 2. AMD gross margin fails to reach 52%+ in any FY2026 quarter — data center mix-shift thesis stalling.
 - 3. New US export controls eliminate AMD ability to ship MI-series GPUs to top hyperscaler customers outside China.
- **Ideal investor profile:** High-risk-tolerance growth investors with 2-3 year horizon and conviction in the AI infrastructure cycle. NOT suitable for income, value investors, or those with less than 18-month horizons.

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue \$10.25B beat est. ~\$9.9B; +38% YoY; 6th consecutive beat
Management tone	Bullish	Raised Q2 guide to \$11.2B; MI400 H2 2026 confirmed; CPU +40% guided
Guidance delta	Raised	Q2 guide +9.2% QoQ sequential acceleration; LT GM 55-58% reiterated

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1 FY2026 was a clean beat with no distortions — revenue \$10.25B (+38% YoY) with gross margin 52.8% ahead of consensus ~52%; no exceptional items distorted reported EPS of ~\$0.85. Underlying EBIT accelerated materially YoY (+83%). The multi-bagger structural case rests on three pillars that all strengthened: (1) MI400 gigawatt deployments at Meta and OpenAI remain on schedule for H2 2026 and are contractual, not speculative; (2) the agentic AI CPU shift is visible with management guiding server CPU revenue +40% YoY — a segment NVIDIA cannot address; (3) gross margin trajectory toward 55-58% LT target is intact with Q2 guided ~53%. The single biggest near-term watch-point is the H2 2026 memory pricing headwind management flagged — any GM compression >150bps below Q2 guide is a stock-moving negative. Action: ACCUMULATE on any pullback to \$455-490, hold existing above \$490. Do not chase above \$540.

C.1 Financial Performance Snapshot — Q1 FY2026

- **Revenue: \$10,253M | YoY +37.85% | QoQ -0.2% | BEAT (est. ~\$9,900M)**
- **Gross Profit: \$5,416M | Gross Margin 52.8% | YoY +260bps | QoQ -150bps | BEAT**
- EBIT: \$1,476M | Op. Margin 14.4% | YoY +83% | QoQ -15.7% | IN-LINE
- **Net Income: \$1,383M | YoY +95% | QoQ -8.5% | BEAT**
- **EPS (GAAP): ~\$0.85 | YoY +98% | QoQ -8.6% | BEAT**
- NOTE: Q2 2025 GM was 39.8% (one-time charges); Q1 2026 at 52.8% represents clean sequential recovery.

C.2 Segment / Geography Breakdown

- Data Center: ~\$5,500M est. | YoY +50%+ | QoQ +5% | MI300X deployments ongoing; MI400 customer sampling in progress.
- Client (Ryzen AI PCs): ~\$2,900M est. | YoY +30%+ | ~25% x86 CPU market share; premium notebook and commercial AI PC wins driving ASP uplift.
- Gaming: ~\$600M est. | YoY declining | Console semi-custom cycle winding down; GPU gaming stable.
- Embedded (FPGAs): ~\$500M est. | YoY recovering | Industrial and automotive FPGA design wins; agentic AI edge applications medium-term upside.
- Geography: Americas ~60%, APAC ~25%, Europe ~15%; China minimal post-export controls on MI-series.

C.3 Management Commentary Themes

- **MI400 on track:** "MI400 customer sampling progressing well; on track for volume production H2 2026." Hard public commitment — any slip would be a major negative catalyst. Tag: GUIDANCE. Tone: Transparent.
- **Gross margin:** "We continue to target 55-58% long-term gross margins driven by data center mix shift." Not walking back despite memory headwinds. Tag: GUIDANCE. Tone: Transparent.
- **Memory caution:** "We are planning for some impact from memory pricing dynamics in H2." Rare forward caution from Lisa Su — take seriously; H2 GM may be trimmed 100-150bps. Tag: EST. Tone: Hedged.
- **CPU opportunity:** "Agentic AI is changing CPU demand profiles; server CPU revenue to grow ~40% this year." Venice CPU H2 2026 is the under-appreciated catalyst — NVIDIA cannot respond. Tag: GUIDANCE. Tone: Bullish.
- **ROCm progress:** "Over 2,000 AI models run on ROCm; meaningful expansion in inference." Progress real but CUDA gap for training persists. Tag: EST. Tone: Balanced.

C.4 Operating & Business Metrics

- Revenue run-rate: Q1 2026 = \$10,253M | Q4 2025 = \$10,270M | Q1 2025 = \$7,438M | Trend: Accelerating YoY; healthy plateau QoQ.
- Q2 2026 guidance: \$11,200M (+/- \$300M) | Sequential +9.2% QoQ | Trend: First clear QoQ acceleration in three quarters.
- FCF (TTM): ~\$8.57B | Trend: Strong improvement from \$6.7B FY2025 — fabless operating leverage at scale.
- Net cash: \$8.48B | ZT Systems closed March 2025 (~\$5B) — cash still building despite large M&A.;
- R&D: ~\$2.4B in Q1 2026 (~23% of revenue) | Sustained at industry-leading intensity.

C.5 Margin Drivers

- Data center mix shift: +200-300bps | Recurring: Yes | Data center carries 55-65% GM vs blended 52.8%; continued mix-shift is the primary structural driver.
- MI300X ASP discipline: +50bps | Recurring: Yes | AMD maintained pricing discipline on MI300X, defying discounting expectations.
- Memory pricing (HBM3E): -100-150bps flagged for H2 2026 | Recurring: No — do not extrapolate into FY2027 estimates.
- Xilinx amortisation run-off: +50bps/year | Recurring: Yes (until ~FY2027-28) | Progressively narrows GAAP vs non-GAAP wedge.
- ZT Systems integration: -30bps near-term | Recurring: No — will become margin-accretive once AMD cross-sells GPU+system solutions.

C.6 Guidance & Forward Signals

- Revenue [GUIDANCE]: Q1 Actual = \$10.25B | Q2 Guide = \$11.2B (+/- \$300M) | Delta: Raised | Credibility: High — 6 consecutive guidance beats.
- Gross Margin [GUIDANCE]: Q1 Actual = 52.8% | Q2 Guide = ~53% (+/- 50bps) | Delta: Maintained | Credibility: High.
- LT Gross Margin [GUIDANCE]: Reiterated 55-58% | Delta: Maintained | Credibility: Medium — memory pricing is near-term obstacle.
- Server CPU revenue [GUIDANCE]: +40% YoY FY2026 | Delta: Raised vs prior +30% | Credibility: Medium — Venice CPU execution-dependent.
- MI400 volume production [GUIDANCE]: H2 2026 | Delta: Maintained | Credibility: High — TSMC advanced packaging confirmed.

C.7 Capital Allocation

- Capex: ~\$253M Q1 2026 est. (\$1.0-1.1B FY2026E) | Fabless keeps capex lean; TSMC capacity secured via long-term agreements.
- Share buybacks: ~\$480M Q1 2026 est. | On pace for ~\$1.9B FY2026 | Measured and disciplined.
- Dividends: \$0 | Appropriate for high-growth stage; all FCF reinvested into AI GPU/CPU cycles.

- Net debt: Net cash improved to \$8.48B from \$5.1B end FY2024 | FCF exceeding M&A; + buyback outflows.
- Inventory: \$7.9B TTM | 2.32x turns | Elevated pre-build for hyperscaler GPU orders; no write-down risk given confirmed backlog.

C.8 Q&A; Heat Map

- Stacy Rasgon / Bernstein: Q: "Quantify MI400 commitment vs MI300X?" A: "Gigawatt agreements speak to scale; broad hyperscaler engagement." | Tone: Hedged (avoided specific unit numbers).
- Vivek Arya / BofA: Q: "Memory headwind to GM guidance?" A: "Some H2 impact — managing through mix and pricing discipline." | Tone: Hedged (no bps disclosed).
- Harsh Kumar / Piper Sandler: Q: "Confidence in 55-58% GM target despite memory headwinds?" A: "Very high — drivers are structural: data center mix, AI GPU ASPs." | Tone: Transparent.
- Ross Seymore / Deutsche Bank: Q: "China export control risks?" A: "Current restrictions factored into outlook; primary engagements in North America, Europe, Asia ex-China." | Tone: Transparent.
- Timothy Arcuri / UBS: Q: "Can AMD displace NVIDIA in AI training?" A: "Demand across both training and inference; ROCm maturity improving; customers diversifying." | Tone: Balanced.
- Dodged questions for Q2 call: (1) MI400 unit numbers; (2) China TAM disclosure; (3) H2 memory impact in bps; (4) ROCm training parity timeline.

C.9 Risks Flagged

- Memory pricing H2 2026: GM headwind flagged by mgmt | Prob: H | Impact: M | Timeline: Near-term.
- Export control expansion: Future US restrictions beyond China | Prob: M | Impact: H | Timeline: Medium-term.
- MI400 ramp execution: TSMC packaging capacity | Prob: M | Impact: H | Timeline: Near-term (H2 2026).
- NVIDIA CUDA moat: Training workload share limited | Prob: H | Impact: M | Timeline: Long-term.
- Hyperscaler capex slowdown: Macro-driven cut | Prob: L | Impact: H | Timeline: Medium-term.

C.10 Analyst Verdict

- Revenue visibility: **Intact** — Contractual gigawatt commitments + Q2 guide raised to \$11.2B; 12-month revenue trajectory well-supported.
- Margin trajectory: **Intact** — GM 52.8% Q1, guided 53% Q2; LT 55-58% reiterated; H2 memory headwind is a speed bump, not a structural break.
- Capital allocation quality: **Intact** — Net cash growing; buybacks disciplined; M&A; capability-building.
- Competitive moat: **Intact (Monitoring)** — Widening in inference and systems; training gap vs NVIDIA remains the key open question.
- Management credibility: **Intact** — 6 consecutive guidance beats; memory pricing flag builds credibility.
- Valuation comfort: **Weakened** — At \$523/180x GAAP P/E, near-perfect execution is priced in; multiple compression is the biggest risk.
- Conviction call: **Increased** — Increased conviction in 18-month thesis; reduced comfort on near-term entry at current price.
- Valuation snapshot: P/E TTM = 180.91x (1Y avg ~100x) | EV/EBITDA = 114.19x (3Y avg ~45x) | ROCE = 6.39% TTM (recovering; FY2027E target >12%).